

eligible predicate remains against Rocket Companies. That argument fails on this pleading. The Fourteenth Cause of Action for dependent adult financial abuse and the Sixteenth Cause of Action for aiding and abetting survive the motion to strike on scope of leave grounds and are pleaded against Rocket Defendants, including Rocket Companies. Both are punitive eligible. The Fourteenth Cause of Action is punitive eligible under Welf. & Inst. Code § 15657(a), and the Sixteenth Cause of Action is punitive eligible derivatively to the extent it attaches to underlying torts that support punitive recovery.

Taken as true on a motion to strike, Plaintiff’s allegations of enterprise level ratification conduct, including written notice to the Office of the Chief Executive Officer of Rocket Companies, a personal response by Varun Krishna, and designation of Heather Moldovan of Rocket Close Operations to review the matter (TAC ¶¶ 31–34), place the section 3294(b) requirements at issue. Whether Plaintiff can ultimately prove by clear and convincing evidence that Rocket Companies’ officers, directors, or managing agents authorized or ratified the challenged conduct with advance knowledge of its wrongful character is a merits question the Court cannot resolve on a motion to strike.

Defendants Rocket Close LLC and Rocket Companies, Inc’s Motion to Strike DENIED.

11.

CASE #	CASE NAME	HEARING NAME
CVPS2508295	LITTLE VS ROCKET CLOSE, LLC	DEMURRER ON 3RD AMENDED COMPLAINT FOR BREACH OF CONTRACT/WARRANTY (OVER \$35,000) OF AUDREY LITTLE BY DEFENDANTS ROCKET CLOSE, LLC, ROCKET CLOSE, LLC (F/K/A AMROCK TITLE CALIFORNIA, INC.), AND ROCKET COMPANIES, INC.

Tentative Ruling: Defendant Oaktree Demurrers to the 2nd, 5th-16th and 18th Causes of Action:

2nd Cause of Action for Breach of Contract:

The Second Cause of Action alleges that Oaktree breached the Specific Closing Instructions by disbursing on July 14, 2025 and recording on July 15, 2025 without completing its final QC review and without ensuring the loan recorded in second-lien position, both of which the instructions required as pre-funding conditions. (TAC ¶¶ 14, 51–55, 76.)

Oaktree argues (1) no contractual duty required it to verify its own lien position because underwriting is performed for the lender’s benefit under *Nymark v. Heart Federal Savings & Loan Association* (1991) 231 Cal.App.3d 1089, 1096, (2) the “final QC” language in the Specific Closing Instructions concerns Plaintiff’s qualifications rather than title verification, which the instructions separately address, and (3) neither the note nor the deed of trust conditions Plaintiff’s repayment on the actual lien position, so the claim improperly conflates two distinct contracts.

Plaintiff responds that the Specific Closing Instructions expressly state “OAKTREE TO PERFORM FINAL QC REVIEW PRIOR TO FUNDING” and “THIS LOAN MUST

RECORD IN 2ND LIEN POSITION ON OR PRIOR TO THE DISBURSEMENT DATE,” that Oaktree disbursed on July 14 and recorded on July 15 outside the required position, and that Plaintiff pleads performance or excuse, breach, and damages. (TAC ¶¶ 14, 51–55, 76.) Plaintiff further alleges that Oaktree possessed pre-funding information channels identifying the Resnick deed of trust, including Oaktree’s own DRIVE/DataVerify/PropertyVerify materials dated May 12 and July 7, both preceding the July 14 disbursement and July 15 recording. (*Id.* at ¶ 13.) Plaintiff separately alleges that Rocket Close’s May 15 title report was later transmitted to Oaktree. (*Id.* at ¶¶ 13, 21, 76, 84.) Plaintiff argues Oaktree’s narrower reading of “final QC” and its assignment of second position compliance to Rocket Close present interpretation questions not resolvable on demurrer.

Written Funding Conditions. The Specific Closing Instructions contain two written provisions Oaktree itself imposed and Plaintiff invokes as breached. Whether those provisions extend to lien position verification or run only to Plaintiff’s qualification, and whether they impose contractual obligations on Oaktree at all, are contract interpretation questions. On demurrer, the Court reads the written text in the light most favorable to Plaintiff. Oaktree’s narrower reading, however plausible on the merits, does not defeat the claim where the text on which Plaintiff relies is present in the exhibits.

Nymark and the Conventional Lender Rule. *Nymark* speaks to tort duty, not contract obligation. A lender may adopt no tort duty and still create contractual obligations by the terms it drafts. Whether Oaktree’s own written pre-funding conditions imposed the obligations Plaintiff pleads is a contract question the Court cannot resolve on demurrer.

Exhibits and Pleaded Facts. Oaktree contends that because Plaintiff attached the Specific Closing Instructions to her TAC, the exhibit’s text controls over any contrary characterization in the pleading. But that rule applies only where the exhibit text is unambiguous. (*Bldg. Permit Consultants, Inc. v. Mazur* (2004) 122 Cal.App.4th 1400, 1409.) Here, the parties dispute both the scope of “final QC” and the allocation of second-position compliance, precisely the interpretation questions the Court cannot resolve on demurrer. Plaintiff’s pre-funding knowledge allegations frame breach and knowledge as merits questions, not defects on the face of the pleading. (TAC ¶¶ 13, 21, 76, 84.)

5th Cause of Action for Declaratory Relief:

Oaktree argues the Fifth Cause of Action is wholly derivative of Plaintiff’s breach of contract theory and therefore properly disposed of on demurrer, and that the “final QC” requirement is not a condition precedent to enforcement of the loan under Civ. Code § 1436 because neither the note nor the deed of trust conditions Plaintiff’s repayment on lien position.

Plaintiff responds that CCP § 1060 permits declaratory relief where an actual present controversy exists over the construction of a written instrument, that declaratory relief may coexist with damages claims, and that the controversy here is whether Oaktree may enforce the loan as though its own written pre-funding conditions were satisfied.

Declaratory relief is properly disposed of on demurrer where the claim is wholly derivative of another cause of action and adds nothing to the case. (*Ball v. FleetBoston Fin. Corp.* (2008) 164 Cal.App.4th 794, 800.) Plaintiff’s Fifth Cause of Action rests on the same “failed funding condition” theory that anchors the Second Cause of Action for breach of contract. Whether Oaktree performed its written pre-funding conditions and what consequences follow from any breach will be resolved through the Second Cause of Action. A separate declaratory claim on the same conduct and the same written

instrument adds no relief the contract claim cannot deliver.

Leave to Amend. The defect is legal. A declaratory claim that duplicates a contract claim on the same operative facts cannot be cured by re-pleading. There is no reasonable possibility of amendment. (*Blank, supra*, 39 Cal.3d at 318.)

6th Cause of Action for Professional Negligence/Negligence:

Oaktree argues (1) as a conventional money lender it owed no duty of care to Plaintiff under *Nymark*, (2) it was appropriate for Oaktree to rely on Plaintiff's application and on Rocket Close as its escrow and title fiduciary, and (3) Plaintiff's own alleged concealment of the Resnick loan is what set these events in motion and proximately caused any harm.

Plaintiff responds that the Sixth Cause of Action is not premised on a generalized lender duty but on transaction specific conduct in which Oaktree underwrote the loan, imposed final QC before funding, authored the second position condition, retained funding authority, obtained pre-funding verification records, and allegedly funded without fulfillment of those conditions. Plaintiff invokes *Biakanja v. Irving* (1958) 49 Cal.2d 647, 650, and argues the transaction was intended to affect Plaintiff, the risk of funding a transaction that could not close as required was foreseeable, and Oaktree controlled its own funding gate.

Duty. *Nymark* holds that a financial institution owes no duty of care to a borrower when its involvement does not exceed the scope of a conventional money lender. *Biakanja* recognizes that a duty may arise where the transaction was intended to affect the plaintiff, harm was foreseeable, and the defendant controlled critical functions. The TAC alleges Oaktree drafted and imposed transaction specific process controls including final QC before funding and mandatory second-lien recordation on or before disbursement, retained funding authority over whether those conditions were met, and obtained pre-funding verification materials identifying the Resnick deed of trust. (TAC ¶¶ 13, 14, 76.) Taken as true on demurrer, those allegations support a transaction specific undertaking beyond conventional money lending. Whether Oaktree's underwriting activities in fact exceed the conventional lender role is a merits question the Court cannot resolve on demurrer where Plaintiff has alleged specific mandatory conditions Oaktree imposed and controlled.

Causation. Oaktree's argument that Plaintiff's alleged concealment of the Resnick loan proximately caused her harm presents a disputed factual defense not resolvable on demurrer. On a demurrer, the Court accepts the pleaded allegations as true and does not weigh competing factual accounts of who knew what and when. Whether Plaintiff's application misled Oaktree, whether Oaktree's own pre-funding materials revealed the Resnick deed of trust regardless, and whether reliance on Rocket Close was reasonable are all merits questions.

7th Cause of Action for Fraudulent Concealment:

Oaktree argues that (1) as a conventional money lender it owed no duty of care or disclosure under *Nymark*, (2) fraud against a corporate defendant must be pleaded with heightened particularity under *Lazar*, and (3) it cannot have "concealed" terms contained in the escrow instructions Plaintiff herself signed, citing *Marin Storage & Trucking, Inc. v. Benco Contracting & Engineering, Inc.* (2001) 89 Cal.App.4th 1042, 1049 ("*Marin Storage*").

Plaintiff responds that Oaktree acted beyond a conventional lender role by drafting and imposing the final QC and second-lien conditions, possessed the pre-funding verification materials identifying the Resnick deed of trust before funding, and had superior or exclusive knowledge of whether its own mandatory conditions had been satisfied. (TAC ¶¶ 13, 76, 84.) Plaintiff invokes *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336–37, for disclosure duties based on partial representations, superior or exclusive knowledge, and active concealment, and *Committee on Children's Television*, for relaxed particularity where operative facts lie within the defendant's knowledge.

Economic Loss Rule. Unlike the fraud claims against Rocket Close, which recharacterize escrow performance itself as fraudulent suppression and therefore fall within *Sheen*, Plaintiff's concealment theory against Oaktree satisfies *Rattagan*, which permits a concealment claim where the tortious conduct exposes the plaintiff to a risk of harm beyond the parties' reasonable contemplation at contracting. (*Rattagan*, supra, 17 Cal.5th at 43–44.) Plaintiff alleges that the materials in Oaktree's file identified the recorded Resnick deed of trust, contradicting Oaktree's own mandatory second-lien condition, and Oaktree funded without disclosing that its internal materials showed its written condition could not be met. (TAC ¶¶ 13, 19–21, 76.) A borrower executing closing instructions does not reasonably contemplate that the lender is funding against its own internal verification data. Taken as true on demurrer, that is the kind of extra-contractual risk *Rattagan* preserves, not the transactional expectancy *Sheen* bars.

Duty to Disclose. *Nymark*'s conventional lender rule turns on whether the lender's involvement exceeded that of a mere money lender. The TAC alleges that Oaktree drafted and imposed transaction specific process controls—final QC before funding and mandatory second-lien recordation on or before disbursement—and retained funding authority over whether those conditions were met. (TAC ¶¶ 14, 76.) It further alleges that Oaktree possessed the pre-funding verification materials identifying the Resnick deed of trust, and that Oaktree's own September 10 Notice of Claim acknowledged the lien-position failure. (*Id.* at ¶¶ 13, 19–21.) Taken as true, those allegations support a duty to disclose grounded on superior or exclusive knowledge and partial representations under *LiMandri*. Whether Oaktree's conduct in fact exceeded conventional lending or whether its internal materials showed what Plaintiff alleges are merits questions, not questions this Court can resolve on demurrer.

Marin Storage charges a signatory with knowledge of the document's contents. (*Marin Storage*, supra, 89 Cal.App.4th at 1049.) But the concealed facts Plaintiff identifies are not the text of the escrow instructions. They are Oaktree's alleged internal pre-funding knowledge that its own second-lien condition had not been and could not be satisfied, drawn from verification materials Plaintiff did not possess. Plaintiff's general awareness of an underlying family debt is not the same as knowledge that the recorded Resnick deed of trust appeared in Oaktree's pre-funding verification materials, or that Oaktree would fund without resolving the second-lien condition it had imposed. Oaktree's related argument that Plaintiff concealed the Resnick loan on her own application likewise raises a factual defense that cannot be resolved on demurrer.

Particularity. The TAC identifies the operative documents (the pre-funding verification materials, the Specific Closing Instructions, and the September 10 Notice of Claim), the transaction, the funding sequence, and known corporate officers. Oaktree argues that Plaintiff's inability to name the internal reviewers or the exact communication chain confirms a *Lazar* failure. That overstates the pleading standard. *Committee on Children's Television* permits less particularity where the operative facts lie uniquely

within the defendant's knowledge, and the identity of Oaktree's internal reviewers and the chain by which its own verification materials were routed is precisely that kind of information. The TAC gives Oaktree fair notice of the theory and the operative transactional facts, which is what the pleading rule requires.

8th Cause of Action for Fraudulent Inducement:

Oaktree argues the Eighth Cause of Action fails for the same reasons as the Seventh Cause of Action. It contends there is no duty under *Nymark*, no heightened particularity under *Lazar*, and no viable misrepresentation or concealment of terms contained in the escrow instructions Plaintiff signed under *Marin Storage*.

Plaintiff alleges Oaktree made written second position and final QC representations in the Specific Closing Instructions, that those representations were false or made with reckless disregard when Oaktree possessed pre-funding verification materials showing the lien stack defect, that Oaktree intended to induce Plaintiff to execute and perform the transaction, and that Plaintiff relied to her detriment. (TAC ¶ 91.)

Economic Loss Rule. The economic loss analysis stated for the Seventh Cause of Action applies with equal force. Plaintiff's inducement theory rests on Oaktree's alleged pre-funding knowledge, drawn from its May 12 and July 7 DRIVE/DataVerify/PropertyVerify materials, that its written second-lien and final QC representations could not be honored at the time they were made. (TAC ¶¶ 13, 84, 91.) That pleaded internal knowledge asymmetry places the alleged inducement in the *Rattagan*-preserved category of risk beyond the parties' reasonable contemplation at contracting, rather than the disappointed transactional expectancy *Sheen* bars.

Duty to Disclose. The duty analysis stated in connection with the Seventh Cause of Action applies with equal force. The TAC alleges Oaktree drafted and imposed mandatory final QC and second-lien conditions and retained funding authority over them (TAC ¶¶ 14, 76), which if true takes Oaktree beyond a conventional lender posture. *Marin Storage* does not defeat the claim because Plaintiff's theory is not that the escrow instructions concealed their own text. It is that Oaktree's pre-funding verification materials showed the mandatory condition could not be met, and that Oaktree funded anyway without disclosing that fact. Whether the closing instructions functioned only as internal underwriting conditions or as representations on which Plaintiff was entitled to rely turns on the nature and purpose of the mandatory conditions Oaktree imposed. That is a merits inquiry, not a demurrer question.

Particularity. The TAC identifies the specific written representations (the second position and final QC provisions in the Specific Closing Instructions), the transaction, the funding sequence, and Oaktree's alleged pre-funding possession of the verification materials contradicting those representations. For the reasons stated on the Seventh Cause of Action, the identity of Oaktree's internal reviewers falls within its exclusive possession, and *Committee on Children's Television* permits less particularity in that circumstance.

9th Cause of Action for Post-Notice Concealment/Ratification:

Oaktree argues the Ninth Cause of Action is not a recognized cause of action in California and is fatally uncertain under CCP § 430.10(f). Plaintiff responds that the cause pleads a dated post-notice course rather than a label, resting on Oaktree's September 10 Notice of Claim, the September 12 title-report transmission, the first payment collected after that notice, the October 24 Rocket Title denial addressed to Oaktree, nondisclosure

of the defect-and-claim posture to Plaintiff, and continued billing, collection, adverse-credit pressure, and refusal of pause and cure requests thereafter. Plaintiff invokes *Rakestraw v. Rodrigues* (1972) 8 Cal.3d 67, 73–75, for ratification, and argues in the alternative that if the caption is not a standalone tort label, the allegations remain relevant to concealment, unfair competition, punitive ratification, implied covenant conduct, and damages, and support conforming amendment.

As Oaktree correctly argues, “post-notice concealment/ratification” is not a recognized independent tort. Plaintiff herself argues in the alternative that if the caption is not a standalone tort label, the allegations “remain relevant” to concealment, UCL, punitive ratification, implied covenant conduct, and damages. (Pl.’s Opp. 7:14–15.) That fallback framing confirms the caption does not stand on its own as an independent cause of action. Because no amendment can convert an unrecognized tort into a viable cause of action, leave to amend is denied. The Court need not reach Oaktree’s separate uncertainty argument because the threshold defect disposes of the demurrer.

10th Cause of Action for Breach of Implied Covenant of Good Faith and Fair Dealing:

Oaktree argues the Tenth Cause of Action is superfluous because it restates the breach of contract theory pleaded in the Second Cause of Action and seeks the same relief, and that the implied covenant polices the exercise of discretion, not fixed obligations, so Plaintiff’s fixed repayment obligation under the note cannot support the claim. Plaintiff responds that the Tenth Cause of Action addresses discretionary post-notice conduct distinct from the funding breach, including whether to pause, cure, coordinate, instruct the servicer, continue withdrawals, impose default treatment, and continue credit pressure after actual notice.

The implied covenant polices the exercise of discretion vested in a contracting party. (*Carma Developers, Inc. v. Marathon Development Cal., Inc.* (1992) 2 Cal.4th 342, 372.) The TAC pleads discretionary post-notice conduct that is analytically distinct from the funding breach pleaded in the Second Cause of Action. Whether to pause billing, coordinate cure, adjust default treatment, and manage credit and collection posture after Oaktree’s September 10 Notice of Claim are discretionary functions the lender and servicer exercise, not fixed terms of the note. (TAC ¶¶ 19–21, 98–99.) Oaktree’s characterization of Plaintiff’s repayment obligation as “fixed” addresses the borrower’s side of the note, not Oaktree’s own discretionary enforcement, servicing, and collection conduct, which is what the implied covenant polices.

Oaktree’s superfluity argument also does not carry on this pleading. The Second Cause of Action addresses Oaktree’s alleged funding condition breach at closing. The Tenth Cause of Action addresses discretionary conduct after Oaktree’s own notice that the funding conditions were not satisfied. Those are different operative facts and different windows of conduct, even when the underlying transaction is the same. On demurrer, that is enough to keep them separately pleaded.

Eleventh Cause of Action for UCL Violations:

Oaktree argues the Eleventh Cause of Action is wholly derivative of Plaintiff’s other causes and fails with them, and that enforcing a valid loan is neither unlawful, unfair, nor fraudulent under Bus. & Prof. Code § 17200. Plaintiff responds that the TAC pleads lost money or property sufficient for standing under section 17204 and that the unlawful, unfair, and fraudulent prongs rest on Oaktree funding and later enforcing a transaction as though its mandatory conditions had been satisfied.

Standing and Derivative Failure. Oaktree's reply concedes that standing is not the defect it presses. The derivative failure argument does not carry on this pleading because the Seventh and Eighth Causes of Action against Oaktree survive demurrer, so the unlawful prong has surviving predicate violations to borrow.

Enforcing a Valid Loan. Oaktree's framing depends on a merits characterization the Court cannot adopt on demurrer. The TAC alleges Oaktree funded and later enforced a transaction as though its own mandatory second position and final QC conditions had been satisfied when its pre-funding materials contained information contradicting those conditions. Whether that course satisfies the unfair or fraudulent prongs of Bus. & Prof. Code § 17200 is a merits question the Court cannot resolve on demurrer.

Twelfth Cause of Action for Post-Notice Enforcement:

Oaktree argues the Twelfth Cause of Action is not a recognized cause of action in California and is fatally uncertain under CCP § 430.10(f), and that no condition precedent conditioned Plaintiff's repayment on the lien position of the Oaktree deed of trust. Plaintiff responds that the cause pleads a Civ. Code § 1439 rule and post-notice enforcement, and that if section 1439 is a legal basis to be applied through the Second and Fifth Causes of Action rather than an independent captioned cause, consolidation or leave to amend is the appropriate response.

For the reasons stated on the Ninth Cause of Action, "Post-Notice Enforcement After Failure of Conditions Precedent" is not a recognized independent cause of action, and Plaintiff's alternative framing argument that the section 1439 theory could be applied through the Second and Fifth Causes of Action confirms the caption does not stand on its own. Section 1439 states a rule of contract performance, not an independent right of action, and the underlying theory remains available through Plaintiff's Second Cause of Action for breach of contract. Re-captioning an unrecognized cause of action would add no relief not already available through the surviving causes. The Court need not reach Oaktree's separate uncertainty argument because the threshold defect disposes of the demurrer.

13th Cause of Action for Rosenthal Fair Debt Collection Practices Act:

The Thirteenth Cause of Action alleges that Oaktree, directly and through its servicer, engaged in post-dispute collection conduct violating the Rosenthal Fair Debt Collection Practices Act, including continued billing after Plaintiff's written notices of dispute, a December 16, 2025 autopay withdrawal after written stop instructions, credit reporting pressure, and repeated calls after cease demands. (TAC ¶¶ 108–115.)

Oaktree argues (1) the collection conduct of which Plaintiff complains is pleaded against the "Servicer DOE Defendants," not Oaktree, and Oaktree has not serviced or collected on the loan, (2) the claim is fatally uncertain under CCP § 430.10(f), because the TAC repeatedly alleges violations by "Oaktree and/or Servicer DOE Defendants" without identifying a single specific act attributable to Oaktree, and (3) the only communication tied to Oaktree is its counsel's response about a disputed debt, which the Rosenthal Act does not target.

Plaintiff responds that the TAC identifies concrete post-dispute collection conduct including continued billing and payment demands, a December 16 withdrawal after written stop instructions, credit reporting pressure, repeated calls, and counsel's position that there would be no pause, and alleges the servicer collected the Oaktree loan in Oaktree's name and under Oaktree's authority. Plaintiff argues agency, authorization, and

ratification are factual questions that cannot be resolved on demurrer.

The Rosenthal Act reaches “debt collectors,” and Civ. Code § 1788.17 incorporates specified provisions of the federal Fair Debt Collection Practices Act. Whether a creditor is liable for collection conduct performed by its servicer turns on the agency and authority relationship between them, which is a factual question. (TAC ¶¶ 108, 110, 112–114.) Plaintiff has pleaded that the servicer collected the Oaktree loan in Oaktree’s name and under Oaktree’s authority, and has identified specific post-dispute collection acts and Oaktree’s counsel’s position on the pause request. That is enough to survive demurrer where discovery is needed to resolve the servicing and authority arrangement.

Oaktree’s uncertainty argument does not carry on this pleading. A demurrer for uncertainty lies only where a pleading is so unintelligible that the defendant cannot reasonably respond. The TAC identifies the challenged conduct with sufficient specificity to give Oaktree fair notice of the theory. Whether particular acts were performed by Oaktree directly, by the servicer under Oaktree’s authority, or subject to Oaktree’s ratification is a merits inquiry, not a pleading defect.

14th Cause of Action for Dependent Adult Financial Abuse:

The Fourteenth Cause of Action alleges that Oaktree took or retained Plaintiff’s property for wrongful use under Welf. & Inst. Code § 15610.30, by collecting and retaining loan payments after its own September 10 Notice of Claim acknowledging the lien position failure and after receiving written notice of Plaintiff’s disability and alleged medical and financial harm. (TAC ¶¶ 19–21, 108–115.)

Oaktree argues (1) seeking repayment of a valid loan is not a taking for a “wrongful use” under Welf. & Inst. Code § 15610.30, (2) the TAC fails to plead facts establishing Plaintiff’s statutory dependent adult status under *Das v. Bank of America, N.A.* (2010) 186 Cal.App.4th 727, 744–45, and (3) the same servicer attribution defects raised on the Thirteenth Cause of Action apply.

Plaintiff responds that section 15610.30 reaches taking, retention, and assistance in taking or retaining property for wrongful use, defined to include conduct the defendant knew or should have known was likely harmful to the dependent adult, and that the TAC pleads her statutory status, disability information in the origination file, retention of payments after the September 10 Notice of Claim, and continued enforcement despite known harm. Plaintiff distinguishes *Das* on the ground that the actual knowledge defect there is not present here.

The TAC alleges Plaintiff’s statutory status as a dependent adult under section 15610.23 based on physical and mental limitations restricting her ability to carry out normal activities or to protect her rights. (TAC ¶¶ 19–21.) Taken as true, that allegation is sufficient at the pleading stage. The TAC further alleges Oaktree’s pre-funding possession of disability information and DRIVE/DataVerify materials, retention of payments after Oaktree’s own Notice of Claim, and continued enforcement after notice of alleged medical and financial harm. (*Id.* at ¶¶ 19–21, 108–115.) Those allegations frame the wrongful use question as a merits inquiry, not a defect on the face of the pleading. *Das* rejected assistance liability where the actual knowledge element was missing. Plaintiff has pleaded knowledge no later than Oaktree’s own September 10 Notice of Claim, which distinguishes *Das*’s actual knowledge defect. Oaktree’s servicer attribution argument fails for the reasons stated on the Thirteenth Cause of Action.

15th Cause of Action for IIED:

The Fifteenth Cause of Action alleges that Oaktree engaged in a cumulative course of extra-contractual conduct causing severe emotional distress, including an October 2025 executive level FBI referral threat after Oaktree's own Notice of Claim acknowledged the lien position failure, a later autopay withdrawal after written stop instructions, repeated calls after cease demands, and continued enforcement after repeated written notice of Plaintiff's disability. (TAC ¶¶ 19–21, 108–115, 124.)

Oaktree argues (1) enforcing a valid loan is not outrageous as a matter of law, (2) emotional distress damages are unavailable in an action arising out of an ordinary commercial contract, (3) the challenged conduct is largely pleaded against the servicer, and (4) Oaktree was within its rights to report suspected fraud on a federally certified loan application under 18 U.S.C. § 1001.

Plaintiff responds that the TAC pleads a cumulative course of extra-judicial conduct including an October 2025 threatened FBI referral by an Oaktree executive after Oaktree's September 10 Notice of Claim identified the lien position problem, a later withdrawal after written stop instructions, repeated calls after stop demands, and continued enforcement after repeated notice of disability and alleged harm. Plaintiff invokes *Alcorn v. Anbro Engineering, Inc.* (1970) 2 Cal.3d 493, 498, fn. 4, and *Christensen v. Superior Court* (1991) 54 Cal.3d 868, 903, for the principle that outrageousness is evaluated in context and knowledge of particular susceptibility may bear on the inquiry.

The outrageousness inquiry is context sensitive. Taken as true and evaluated in the aggregate, the pleaded course—an executive level FBI referral threat after Oaktree's Notice of Claim acknowledged the lien position failure, autopay withdrawal after written stop instructions, repeated calls after cease demands, and continued enforcement despite alleged knowledge of Plaintiff's disability and warnings of harm (TAC ¶¶ 19–21, 108–115, 124)—is not equivalent to routine collection on a valid loan. Whether it meets the outrageousness standard is a fact intensive question for the merits. Although emotional distress recovery for breach of an ordinary commercial contract is unavailable (*Erllich v. Menezes* (1999) 21 Cal.4th 543, 558), the Fifteenth Cause of Action rests on extra-contractual conduct. Oaktree's servicer attribution argument fails for the reasons stated on the Thirteenth Cause of Action, and Oaktree's justification for the FBI referral rests on disputed facts not resolvable on demurrer.

16th Cause of Action for Aiding and Abetting/Concerted Misconduct:

Oaktree argues aiding and abetting is not a freestanding cause of action but a theory of derivative liability requiring an underlying tort, that Plaintiff's underlying tort theories against Oaktree fail so there is no predicate wrong for Oaktree to have aided or abetted, and that the claim is additionally uncertain under CCP § 430.10(f).

Plaintiff responds that California recognizes aiding and abetting liability where a defendant knows another's conduct constitutes a breach of duty and gives substantial assistance or encouragement (*Casey v. United States Bank Nat'l Ass'n* (2005) 127 Cal.App.4th 1138, 1144), and that the theory is pleaded in the alternative because the precise pre-funding communication path is not yet produced, though the known foundation includes Rocket Close's May 15 title report, Oaktree's May 12 and July 7 lender side records, the final QC gate, second position condition, and funding sequence.

Aiding and abetting is a recognized theory of liability in California that attaches to an underlying tort. (*Casey v. United States Bank Nat'l Ass'n* (2005) 127 Cal.App.4th 1138,

1144.) The Seventh, Eighth, Fourteenth, and Fifteenth Causes of Action against Oaktree survive demurrer for the reasons stated above. Those surviving tort causes supply predicate wrongs to which aiding and abetting liability could attach. On demurrer, the TAC's allegations of the pre-funding information channels between Rocket Close and Oaktree, together with the funding sequence, are sufficient to plead the theory in the alternative. Whether Plaintiff can ultimately prove substantial assistance or encouragement given the alleged communication path is a merits question, not a pleading defect.

18th Cause of Action for Quiet Title:

The Eighteenth Cause of Action alleges that Plaintiff owns the property, that Oaktree's recorded deed of trust constitutes an adverse claim, and seeks a determination of title under CCP § 761.020. (TAC ¶¶ 155–160.)

Oaktree argues (1) it holds no ownership interest in the property and is not a proper party to a quiet title claim, (2) a mortgagor cannot quiet title against her secured lender without alleging tender of the full amount owed, and (3) there is no adverse claim to be quieted absent foreclosure and no joinder of all lienholders.

Plaintiff responds that the TAC is verified and alleges Plaintiff's ownership, the property description, Oaktree's recorded deed of trust claim, the determination sought, and the requested relief under CCP § 761.020. Plaintiff argues a deed of trust lien is an adverse claim within a quiet title dispute even without foreclosure, invokes the tender exception recognized in *Lona v. Citibank, N.A.* (2011) 202 Cal.App.4th 89, 112–113, where the action attacks the validity of the underlying debt or asserts qualifying offsets, and asserts any tender or joinder defect is curable.

The California rule requires a mortgagor to tender the full amount owed before quieting title against a secured lender. (*Shimpones v. Stickney* (1934) 219 Cal. 637, 649; *Aguilar v. Bocci* (1974) 39 Cal.App.3d 475, 477–78.) *Lona* recognizes exceptions where the action attacks the validity of the underlying debt or asserts qualifying offsets. The TAC's Second Cause of Action for breach of contract survives on the theory that Oaktree failed to satisfy its own written pre-funding conditions, and the TAC alleges offsets and equitable adjustment. Whether the *Lona* validity and offset exception applies on these facts is a merits question the Court cannot resolve on demurrer where the underlying enforceability challenge remains pleaded.

The court deems that the added causes of action in the TAC are permitted.

Defendant Oaktree's Request for Judicial Notice Exhibits 1-3 GRANTED.

Defendant Oaktree's Demurrer to the 2nd, 6th-8th, 10th, 11th, 13th-18th Causes of Action OVERRULED.

Defendant Oaktree's Demurrer to the 5th, 9th and 12th Causes of Action SUSTAINED WITHOUT leave to amend.

Defendant to file an answer within 15 days.